

Torrent Pharmaceuticals Ltd

TORNTPHARM

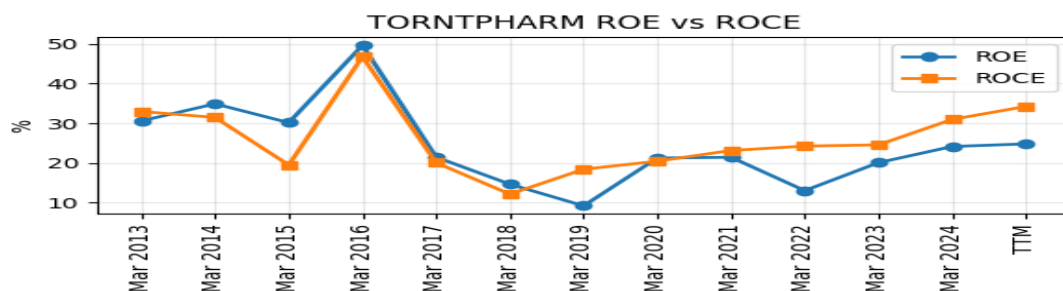
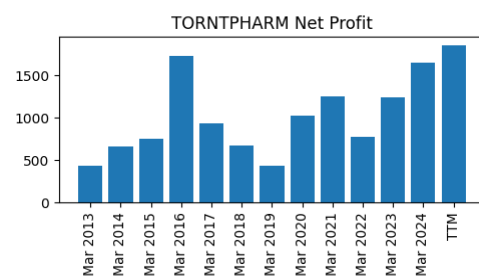
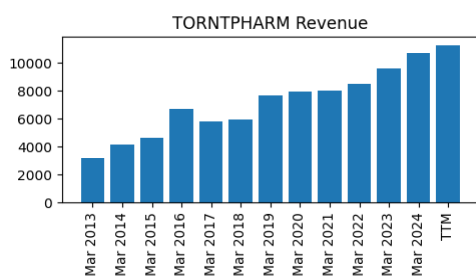
Key Financial Metrics

ROE 24.81%	ROCE 34.24%	Debt / Equity 0.42
Revenue CAGR 11.62%	FCF Conversion 197.22%	Quality Score 50.47

Company Profile

Company	Torrent Pharmaceuticals Ltd
Sector	Healthcare
Industry	Pharmaceuticals
Market Cap (■ Cr)	1,870,170.39
P/E Ratio	46.40
P/B Ratio	6.43
Dividend Yield	1.22%

Financial Performance



AI Investment Summary

Torrent Pharmaceuticals Ltd demonstrates average financial performance with a few areas requiring monitoring. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 50.5/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Hold. Overall, the company appears to be financially average and requires monitoring.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

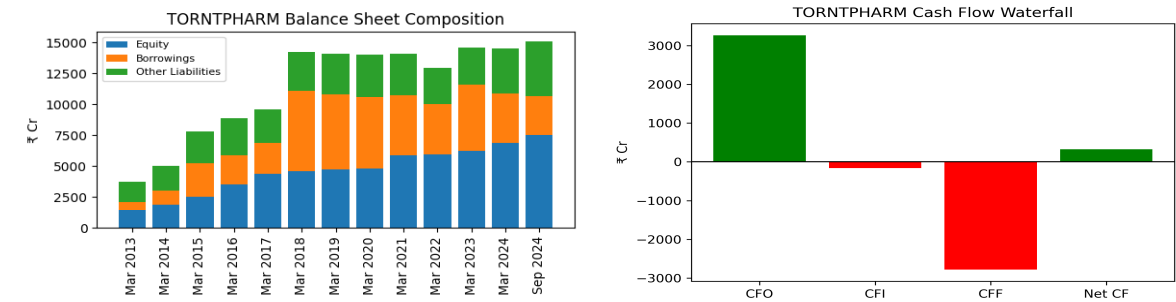
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 52.5/100, supported by 6 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 52.5

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Strong
Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns